Some commenters agreed that covered institutions should safeguard the customer information they receive from other financial institutions.[972] Other commenters disagreed with the proposed requirement that a covered institution would have to notify individuals whose sensitive customer information was compromised even when these individuals were not the covered institution's customers.[973] Some commenters stated that it would be impractical for covered institutions to identify and contact such individuals, or that it could confuse these individuals.[974] However, such individuals will benefit from their information being included in the scope of the amendments' requirements. Another commenter stated that this provision of the requirement could lead to duplicative notification obligations if the two financial institutions involved—that is, the institution that received the information and the institution that provided the information—were both covered institutions.[975] After considering comments, we have modified the amendments to avoid requiring that multiple covered institutions notify the same affected individuals for a given incident.[976] The final amendments require that when an incident occurs at a covered institution or at one of its service providers that is not itself a covered institution, the covered institution has the obligation to ensure that a notice is provided to affected individuals, regardless of whether this covered institution has a customer relationship with the individuals. If this covered institution received the customer information from another covered institution, the two covered institutions can coordinate with each other to decide who

---

972 *See, e.g.*, ICI Comment Letter 1; Better Markets Comment Letter.

973 *See, e.g.*, SIFMA Comment Letter 2; CAI Comment Letter.

974 *See* ACLI Comment Letter; SIFMA Comment Letter 2; Federated Comment Letter.

975 *See* CAI Comment Letter.

976 *See* final rule 248.30(a)(4); *see also supra* sections II.A.3.a and IV.D.1.c.

will send the notice. As discussed above,[977] we expect that this modification will reduce compliance costs without reducing the benefits of the final amendments.

b. Extension to Cover All Transfer Agents

The final amendments extend both the safeguards rule and the disposal rule to apply to any transfer agent registered with the Commission or another appropriate regulatory agency. Before this adoption, the safeguards rule did not apply to any transfer agents, and the disposal rule only applied to transfer agents registered with the Commission.[978] In addition to requiring transfer agents to design an incident response program, the benefits and costs of which are discussed separately above,[979] the amendments create an additional obligation on transfer agents to develop, implement, and maintain written policies and procedures that address administrative, technical, and physical safeguards for the protection of customer information.[980] Moreover, the final amendments create an obligation on transfer agents registered with a regulatory agency other than the Commission to develop, implement, and maintain written policies and procedures that address the proper disposal of customer information.[981]

As discussed in sections II.B.2 and IV.C.3.e, in the U.S., transfer agents provide the infrastructure for tracking ownership of securities. Maintaining such ownership records necessarily entails holding or accessing non-public information about a large swath of the U.S.

---

977 *See supra* section IV.D.1.c.

978 *See supra* section II.B.2.

979 *See supra* section IV.D.

980 *See* final rule 248.30(a).

981 *See* 17 CFR 248.30(a).

investing public.[982] Given the highly concentrated nature of the transfer agent market,[983] a general failure of customer information safeguards at a transfer agent could negatively impact large numbers of customers.[984]

One commenter stated that because transfer agents' customers are not the individuals whose information they hold but the issuers of securities, the proposed amendments were ill-fitting, which decreased their efficacy and increased their complications.[985] This commenter also stated that the proposed amendments were not well-suited for transfer agents, and that this highlighted the need for a more in-depth analysis of how the final amendments may impact transfer agents, their customers (the issuers of securities), and securityholders.[986] In response to this commenter, we have supplemented below the analysis of the benefits and costs of extending the scope of Regulation S-P to transfer agents.[987]

The final amendments extend the scope of the safeguards rule to cover any transfer agent registered with the Commission or another appropriate regulatory agency. As discussed above,[988] the safeguards rule requires covered institutions to develop written policies and procedures, including a response program reasonably designed to detect, respond to, and recover from unauthorized access to or use of customer information, including customer notification

---

982 One commenter disagreed with this notion, stating that many transfer agents do not have the type or scope of personal information which could lead to further complications for shareholders. *See* STA Comment Letter 2. Transfer agents that do not possess customer information as defined in final rule 248.30(d)(5) will not be covered by the amendments and as such will not be subject to its associated costs.

983 *See supra* section IV.C.3.e.

984 More than 40% of registered transfer agents maintain records for more than 10,000 individual accounts. *See supra* Figure 8.

985 *See* STA Comment Letter 2.

986 *See* STA Comment Letter 2.

987 Additional context is provided in section IV.C.3.f. *See also supra* section II.B.2 for a discussion of why the amendments are appropriate for transfer agents.

988 *See supra* section IV.D.1.

procedures. The benefits and costs of the response program, as detailed above,[989] will also apply to transfer agents. Additionally, because transfer agents may be considered service providers under state law, or may maintain but not own or license customer information data, they are likely to be required by state law to notify the entity that owns or licenses the data (the issuer of the securities), which in turn could be required to notify the affected individuals (the holders of the securities).[990] Hence, it is possible that the final amendments will result in two notices being sent for the same incident—one by the issuer of the securities, as required by state law, and one by the issuer's transfer agent, as required by the final amendments.

Some commenters stated that a second notification would have negative consequences for customers without providing any benefits.[991] One commenter stated that the proposed requirements would not provide shareholders with helpful, new information but rather that two different notices, from two different entities, concerning the same breach would likely result in shareholder confusion.[992] Another commenter added that this second notice could potentially result in confusion, questions, and unnecessary costs to the transfer agent and the issuer.[993]

We disagree that no helpful, new information will be provided to the affected customers. In the situation where state law requires a notification from the issuer and the final amendments require a notification from the transfer agent as a covered institution, the final amendments will help ensure that the individuals whose information has been breached receive an informative and

---

989 *See supra* section IV.D.1.a; *see also infra* footnote 1003 and accompanying text for a discussion on additional costs for transfer agents.

990 *See supra* section IV.C.2.a(3).

991 *See, e.g.*, STA Comment Letter 2.

992 *See* STA Comment Letter 2.

993 *See* Computershare Comment Letter.

timely notice, with the benefits over the baseline described above.[994] Securityholders will benefit by potentially receiving additional and more timely information on a given breach.[995] In addition, in response to commenters' concerns, we have modified the final amendments such that, for the cases where multiple notifying entities are covered institutions, only one notice needs to be sent to satisfy the amendments' requirements.[996] Furthermore, some states allow for the entity that is the victim of a breach, but does not own or license the data, to notify individuals directly.[997] Hence, we expect that in some instances, the notice required by the final amendments will satisfy the state law requirements and only one notice will be sent. In these instances, additional costs related to the second notice will be avoided. For the instances where two notices will nevertheless be sent, we acknowledge that a second notification will impose costs on the transfer agent or its customer the issuer. As discussed below, we estimate that certain costs associated with the preparation and distribution of notices will be, on average, $5,178 per year per covered institution.[998] We understand it is possible that, in some cases, customers may be confused when receiving a notice from an entity they do not recognize and may read the notification as a phishing attempt or another nefarious scheme. However, we do not expect that a second notice will impose significant costs on the affected customers, and we expect that this confusion will be

---

994 *See supra* section IV.D.1.b.

995 *See supra* section IV.D.1.b. Commenters stated that issuers may already have adopted policies and procedures to adhere to the strictest standards thereby already notifying securityholders consistent with the proposed amendments. *See* Computershare Comment Letter; STA Comment Letter 2. We acknowledge that this may be the case.

996 *See supra* sections IV.D.1.c and IV.D.2.a for additional discussions of the case where two covered institutions are involved in the same incident.

997 *See, e.g.*, Wyo. Stat. § 40-12-502(g) ("The person who maintains the data on behalf of another business entity and the business entity on whose behalf the data is maintained may agree which person or entity will provide any required notice as provided in subsection (a) of this section, provided only a single notice for each breach of the security of the system shall be required."). *See also supra* section IV.C.2.a(3).

998 This estimate is an annual average for the first three years. The corresponding ongoing annual costs beyond the first three years are estimated to be on average $3,862 per year per covered institution. *See infra* section V.

mitigated by the content of the notice. As discussed in section IV.D.1.b(5), the notice is required to include a description of the incident in general terms. We expect that this description will help explain the situation in the case where customers do not have a direct relationship with the transfer agent sending the notice and, therefore, that it will reduce potential customer confusion from duplicative notification, as discussed above.[999]

Before this adoption, transfer agents that are registered with the Commission were not required to notify customers directly in case of a breach under Federal law.[1000] As discussed above, we also expect that, under state law, transfer agents are likely to be considered service providers (or entities that use or maintain but do not own or license data) and as such are typically only required to notify the issuer of securities in case of breach.[1001] Hence, we expect that to satisfy the amendments' requirements, these transfer agents might need to design and implement a response program and notification procedures, which will require some resources.[1002] As discussed below, we estimate that certain costs associated with developing and implementing policies and procedures, which include the response program and notification procedures, to comply with the final amendments will be, on average, $17,950 per year per transfer agent.[1003] In addition, as for other types of covered institutions, if transfer agents respond

---

999 *See supra* section II.B.2.

1000 In 2023, there were 251 such transfer agents. *See supra* section IV.C.3.e.

1001 However, there are some states where transfer agents may be required by state law to notify the affected individuals directly. *See supra* footnote 574 and accompanying text.

1002 Transfer agents registered with the Commission may already have such procedures in place and may already be notifying customers. *See* ICI Comment Letter 1 ("We understand that this is a common practice today for investment companies wherein their transfer agents assume responsibility for sending affected customers breach notices."). However, we do not have data on how common such arrangements are and commenters did not provide such data.

1003 This estimate is an annual average for the first three years. The corresponding ongoing annual costs beyond the first three years are estimated to be on average $5,425 per year per transfer agent. *See infra* section V. These estimated costs are higher than for other types of covered institutions because transfer agents were not, before this adoption, covered by the safeguards rule. In addition, transfer agents registered with a

to this requirement by improving their customer information safeguards beyond what is required by the final amendments, they will incur additional costs.[1004] We expect that the different costs resulting from the written policies and procedures requirement will be passed on to the transfer agents' customers (the issuers of securities) and ultimately to the holders of these securities.

Transfer agents that are registered with an appropriate regulatory agency other than the Commission may already be required to notify affected individuals in case of a breach under the Banking Agencies' Incident Response Guidance.[1005] As discussed above, although the notification requirement under the final amendments is largely aligned with the Banking Agencies' Incident Response Guidance, there are some differences.[1006] Hence, for these institutions, we expect that the costs of the requirements will primarily be to review and, if needed, update their notification procedures to ensure consistency with the amendments, though there may be some costs associated with updating procedures to achieve consistency with the final amendments.[1007] As discussed below, we estimate that certain costs associated with

---

regulatory agency other than the Commission were not, before this adoption, covered by the disposal rule. The final amendments extend both the safeguards rule and the disposal rule to apply to any transfer agent registered with the Commission or another appropriate regulatory agency. The additional costs that could be incurred by transfer agents as a result are discussed below. *See infra* text accompanying footnote 1021.

1004 We are unable to quantify expected costs resulting from such enhancements. *See supra* footnote 717 and accompanying text.

1005 In 2023, there were 64 such transfer agents; *see supra* section IV.C.3.e; *see also supra* section IV.C.2.b.

1006 For example, the Banking Agencies' Incident Response Guidance requires entities to notify customers "as soon as possible," but does not specify a precise deadline, whereas the final amendments require that the notice be sent as soon as practicable, but not later than 30 days, after becoming aware that unauthorized access to or use of sensitive customer information has occurred or is reasonably likely to have occurred. In addition, the Banking Agencies' Incident Response Guidance has a different definition of "sensitive customer information" and has different requirements regarding an entity's service providers. *See supra* section IV.C.2.b for a description of the Banking Agencies' Incident Response Guidance's requirements.

1007 We expect these reviews and updates will result in the entities incurring costs generally smaller than the costs of adopting and implementing new policies and procedures, as discussed in Section V.

developing and implementing policies and procedures to comply with the final amendments will be, on average, $17,950 per year per transfer agent.[1008]

One commenter supported the proposed inclusion of transfer agents in the safeguards rule, stating that it would eliminate the asymmetry between the transfer agents registered with the Commission and those registered with another regulatory agency and that it would promote investor protection, regulatory parity, and fair competition among firms.[1009] We agree with this commenter. Another commenter stated that expanding the regulation's scope to include transfer agents was long overdue.[1010]

Other commenters opposed the proposed inclusion.[1011] One commenter stated that requiring transfer agents to notify customers directly would create undue costs for transfer agents, that the proposed amendments included a potential for conflicting regulations where there are overlapping state and federal regulations, and that this would lead to unnecessary expenses as transfer agents attempt to develop policies and procedures capable of addressing these potentially conflicting regulations.[1012] This commenter suggested that the Commission either preempt state law or prepare and produce a cost-benefit analysis identifying the specific ways in which the amendments would be an improvement over existing regulations.[1013] Another commenter—a transfer agent—stated that it already had policies and procedures to notify issuers

---

1008 This estimate is an annual average for the first three years. The corresponding ongoing annual costs beyond the first three years are estimated to be on average $5,425 per year per transfer agent. *See infra* section V.

1009 *See* Better Markets Comment Letter.

1010 *See* ICI Comment Letter 1.

1011 *See* STA Comment Letter 2; Computershare Comment Letter.

1012 *See* STA Comment Letter 2. The commenter did not describe such conflicts.

1013 *See* STA Comment Letter 2.

of securities in accordance with state law and that notifying the securityholders directly could violate some of its existing contracts with issuers.[1014]

In response to commenters and as discussed above,[1015] we have modified the final amendments to minimize the likelihood of multiple notices being sent for the same incident, which will decrease compliance costs.[1016] The final amendments do not necessarily require covered institutions to notify affected customers directly in case of breach, but instead provide that a covered institution must ensure that the required notice is sent.[1017] Hence, if a transfer agent has a contract with an issuer that prevents it from notifying securityholders directly, the transfer agent will be able to, under the final amendments, enter into an agreement with the issuer so that the issuer sends the notice on its behalf.[1018] In consideration of the commenter's request for an analysis that considers the incremental effects of the rule over existing regulations, we have (i) conducted supplemental analyses of the baseline regarding state law requirements,[1019] and (ii) supplemented the analysis of the benefits and costs of the final amendments over this

---

1014 *See* Computershare Comment Letter ("However, as state breach notification laws have been in effect for nearly two decades, Computershare has long-standing policies and procedures for notification, and contractual obligations to clients that are designed to track state law requirements. Such contract provisions may specifically prohibit Computershare as the transfer agent from notifying securityholders as the issuers have the requirement to notify their securityholders under state law.").

1015 *See supra* section IV.D.

1016 *See also supra* section II.B.2 for a discussion of how the final amendments permit transfer agents and issuers to develop arrangements to address potentially conflicting regulations.

1017 *See* final rule 248.30(a)(4).

1018 Such contract renegotiation will involve some costs for the transfer agents. It is difficult for us to quantify these costs, as we have no data on the provisions of existing contracts between transfer agents and security issuers relating to customer notification of data breaches, and no commenter suggested such data. Such costs are likely to be contract specific, as they will depend on the degree to which each existing contract may be revised as a result of the final amendments. Many such contracts may not be revised at all, while others may undergo more revisions. Moreover, in many cases, even where a contract could be revised as a means of complying with the final requirements, the covered institution may pursue compliance by other means.

1019 *See supra* section IV.C.2.

baseline, highlighting the different areas where the final amendments will improve over existing regulations.[1020]

The final amendments to the safeguards rule also require transfer agents to develop, implement, and maintain written policies and procedures that address administrative, technical, and physical safeguards for the protection of customer information.[1021] In general, transfer agents with written policies and procedures to safeguard customer information would be at reduced risk of experiencing such safeguard failures.[1022] Because some state laws require written policies and procedures to protect customer information,[1023] and because transfer agents, by the nature of their business models, are likely to hold information about individuals residing in a large number of states, we expect that most transfer agents already have policies and procedures in place.[1024] In addition, transfer agents registered with a regulatory agency other than the Commission may also be subject to the Banking Agencies' Safeguards Guidance or other Federal regulation.[1025] Hence, we expect the costs of this requirement to be limited and to consist mostly of reviewing and updating existing policies and procedures to ensure consistency with the safeguards rule.[1026] As discussed below, we estimate that certain costs associated with developing and implementing

---

1020 *See supra* section IV.D.1.b.

1021 *See* final rule 248.30(a)(1).

1022 *See supra* section IV.D.1 for a discussion of the benefits of written policies and procedures generally.

1023 *See supra* section IV.C.2.b.

1024 In addition, some transfer agents may also be subject to other regulations, such as the GDPR, and already have customer information safeguards in place as a result. *See supra* section IV.C.2.b.

1025 *See supra* footnote 604 and accompanying text.

1026 We expect these reviews and updates will result in the entities incurring costs generally smaller than the costs of adopting and implementing new policies and procedures, as discussed in section V.